

Fearnleys Dry Bulk Market Outlook

Jul 4, 2024

Bernhard Baardson

SUMMARY AND OUTLOOK

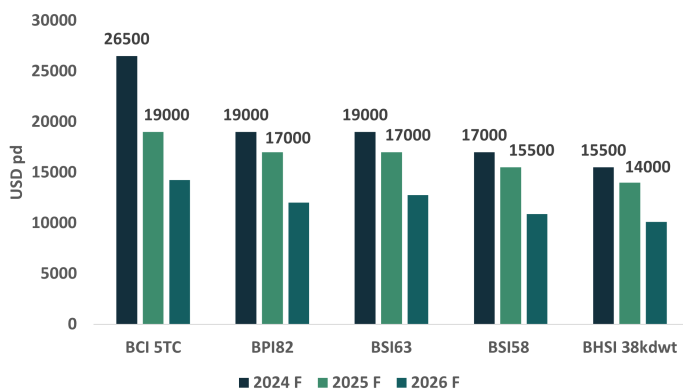
Year-to-date, the Baltic Dry Index have averaged 59% higher than the same period last year, so far in line with our general view that 2024 would be an "upcycle" year and that a 50% or more increase is normal to see during such years. The upturn has primarily been driven by the Capesize segment, with the BCI5TC up 92% year on year. The Panamax 5TC, Supramax 10TC and the Handysize 7TC are up by 35%, 33.5% and 25%, respectively. We believe the year on year percentage increases will rise further during the coming two months for all segments, as we expect a much stronger summer than last year.

Next year, we see several downside risks emerging from the second half of the year onward, likely translating into slightly lower earnings averages in 2025 than in 2024. Weakness could primarily be felt in the Capesize segment, as China's import demand is the primary bearish factor we see.

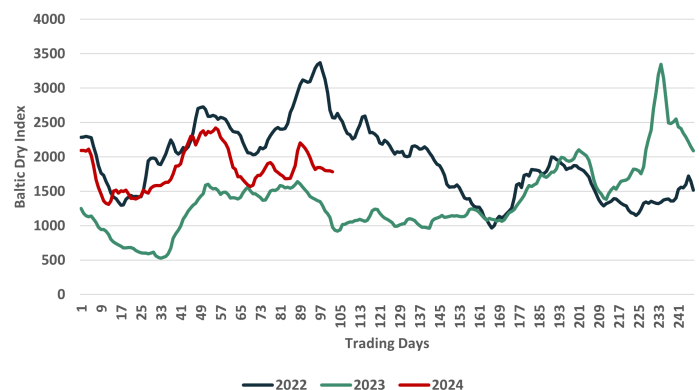
We expect a more bearish year in 2026, but only if the indicators we rely on for our view of a weaker 2025 continues to worsen over the coming quarters. Regarding asset values, we expect little change over the next year. Prices are too high to expect much upside, notwithstanding our bullish view on earnings, whereas downside should be limited by the tight yard capacity and upwards pressure on newbuilding prices.

All in all, we maintain our general view of a bullish 2024, a slightly lower market in 2025, and a more bearish 2026.

Earnings Forecasts



BDI by Year



Baltic Exchange, Fearnleys

SUPPLY OUTLOOK

Total fleet statistics, year to date 2024.

Deliveries: 17.7 million DWT
 Scrapping: 1.6 million DWT
 Year on Year Fleet Growth: 2.9%

Fleet statistics per segment.

Handysize

Deliveries: 2.5 million DWT
 Scrapping: 0.5 million DWT
 Year on Year Fleet Growth: 2.2%

Supramax/Ultramax

Deliveries: 5.0 million DWT
 Scrapping: 0
 Year on Year Fleet Growth: 4.5%

Panamax/Kamsarmax

Deliveries: 4.7 million DWT
 Scrapping: 0.6 million DWT
 Year on Year Fleet Growth: 3.0%

Capesize/Newcastlemax

Deliveries: 5.4 million DWT
 Scrapping: 0.5 million DWT
 Year on Year Fleet Growth: 2.7%

Orderbook to Existing Fleet Ratios (in DWT terms)

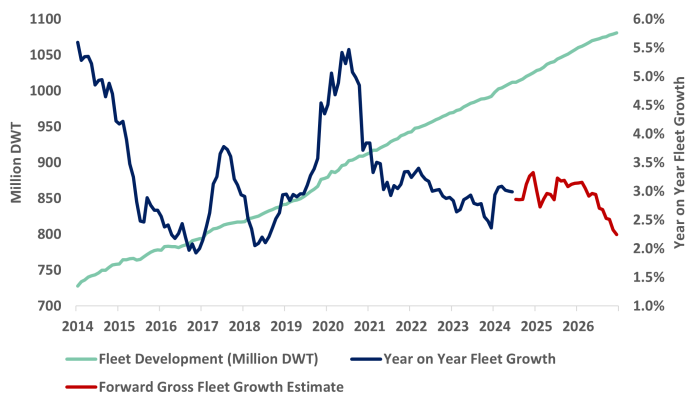
Total Fleet:	9.1%
VLOC:	3.7%
Capesize/Newcastlemax:	5.2%
Panamax/Kamsarmax:	10.7%
Supramax/Ultramax:	12.0%
Handysize 25-50kdw	10.2%

Total fleet growth estimates

2024: About 3.0%
 2025: About 3.0%
 2026: About 2.0%

Fleet Growth and Forward Gross Estimates

Total Fleet Growth Including Estimate



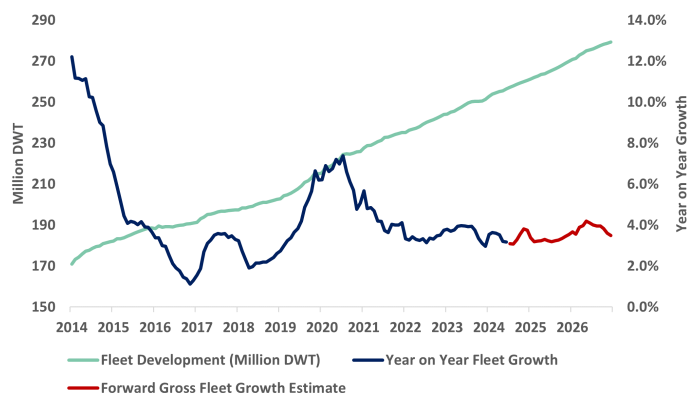
Cape/Newc Fleet Growth Including Estimate



VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



IHS, Fearnleys

PERIOD RATES AND ASSET VALUES

In our previous report published in May, we wrote the following:

The below charts shows 1 year time charter rates and spot market earnings against asset values. We believe the following adjustments have to be made to either earnings or values in order to bring the spread between earnings and values closer to historical levels (for Japanese tonnage):

Handysize: 1 year time charter rates either have to rise above 15.000 USD pd, or the 10 year old value have to fall to around 17 million USD.

Supramax: 1 year time charter rates either have to rise to around 19.000 USD pd, or the 10 year old value have to fall below 20 million USD.

Kamsarmax: 1 year time charter rates either have to rise above 20.000 USD pd, or the 10 year old value have to fall to 23-24 million USD.

For Capesizes, we assess the spread between earnings and asset values as fair basis historical correlations.

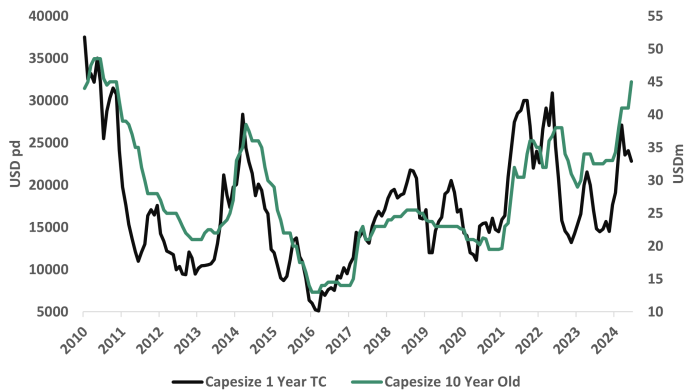
We believe 1 year time charter rates will make year-to-date highs for all segments during the second half of this year. This will serve to close the spreads somewhat for the small and mid-sized segments, and leave the potential for a bit further upside in Capesize values.

Capesize and Newcastlemax values have risen further as suggested. For the smaller sizes, upwards pressure has

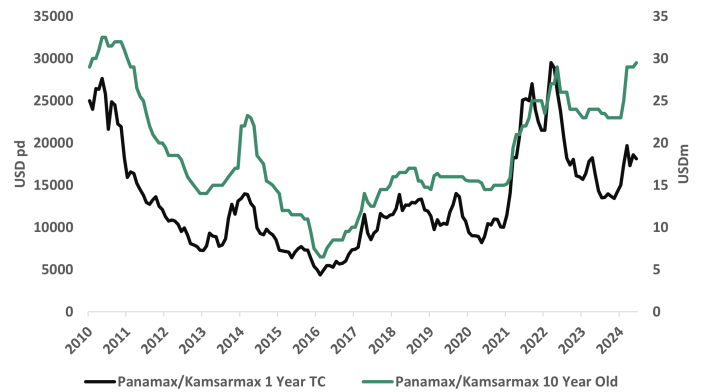
continued on modern tonnage despite 1-year TC rates being down from the peak earlier this year. The gap between earnings and values have thus widened since our previous report, for all segments. Our viewpoint remains that 1 year TC rates will reach year-to-date highs in the second half of the year. If this does not happen, a downwards adjustment to values is likely before the end of the year.

Asset Values vs Period Rates

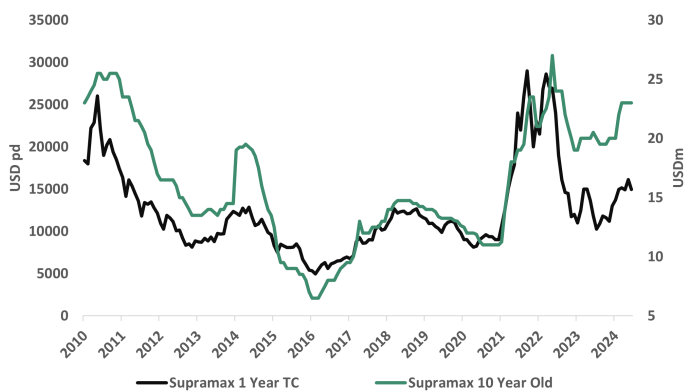
Capesize 1 Year TC vs Capesize 10 Year Old



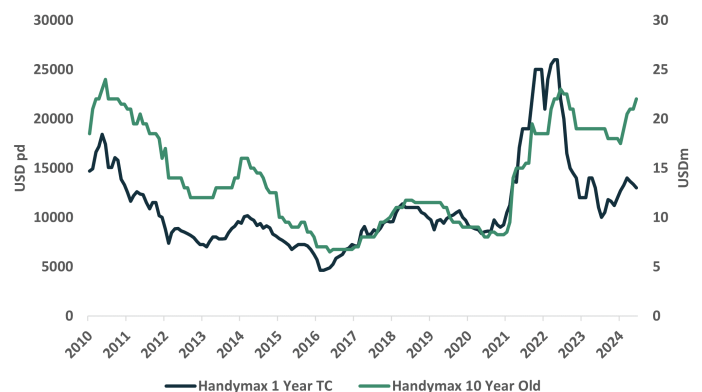
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old



Supramax 1 Year TC vs Supramax 10 Year Old



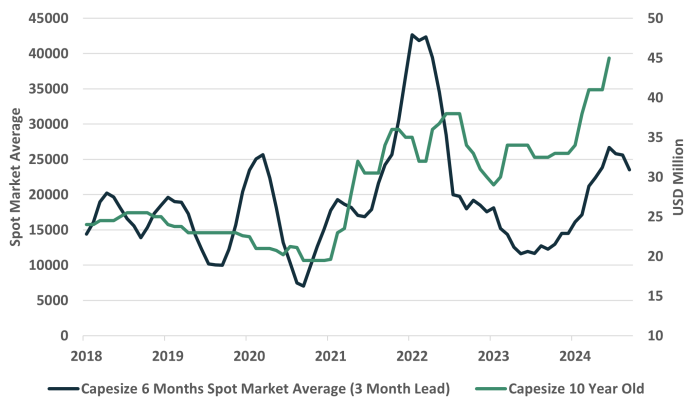
Handysize 1 Year TC vs Handysize 10 Year Old



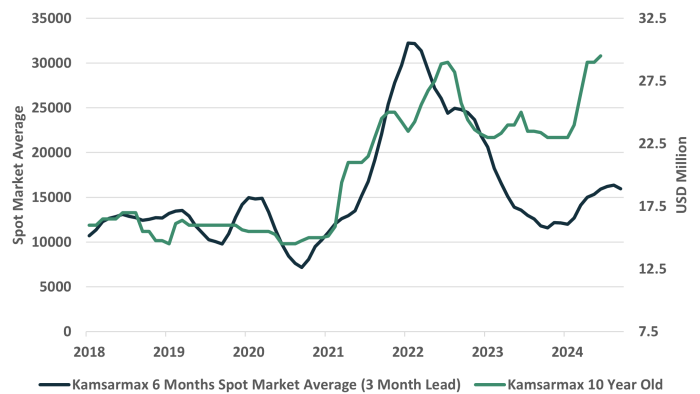
Fearnleys

Asset Values vs Spot Earnings Averages

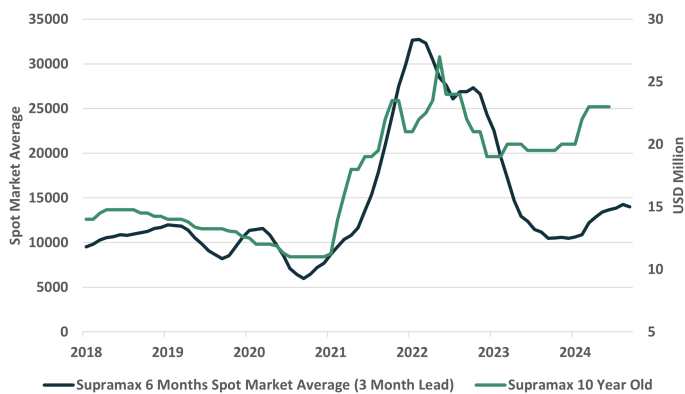
Capesize 6 Months Spot Market Average (Moved 3 Months Forward) vs Capesize 10 Year Old



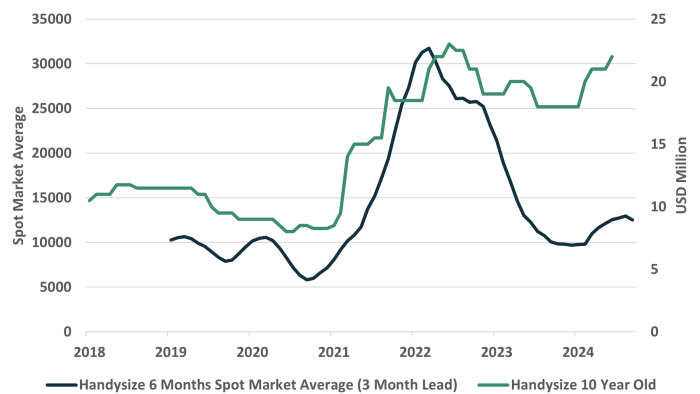
Kamsarmax 6 Months Spot Market Average (Moved 3 Months Forward) vs Kamsarmax 10 Year Old



Supramax 6 Months Spot Market Average (Moved 3 Months Forward) vs Supramax 10 Year Old



Handysize 6 Months Spot Market Average (Moved 3 Months Forward) vs Handysize 10 Year Old

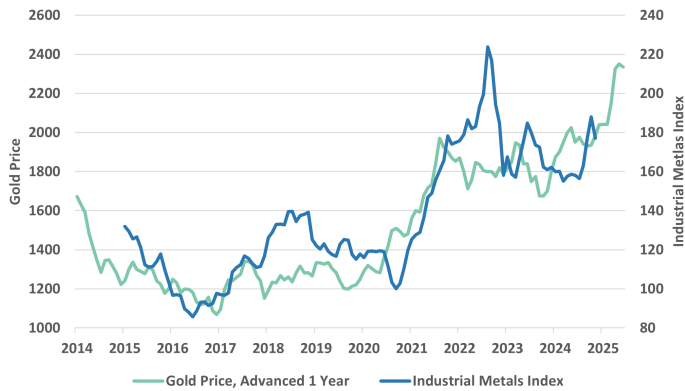


Baltic Exchange, Fearnleys

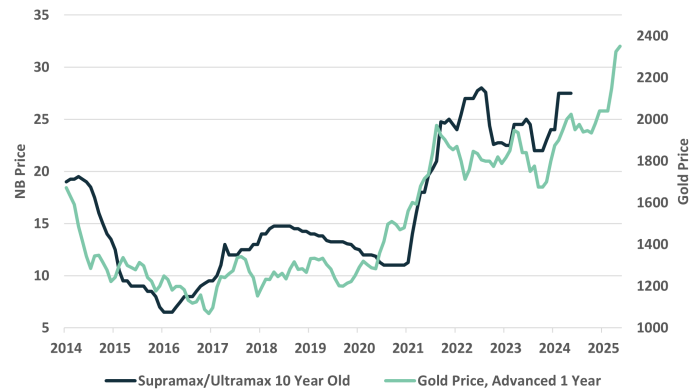
Asset Values vs Commodity Prices

The below chart displays the close correlation between commodity prices and dry bulk asset values. Rising inflation is always supportive of values, which is shown by the charts plotting the price of gold or industrial metals against the price of a 10-year old Ultramax. The gold price often has a 1-year lead on values, and is suggesting support for values until mid next year.

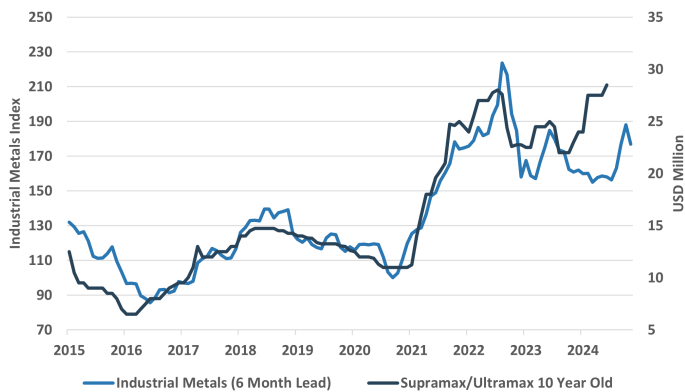
Gold Price (Moved Forward 1 Year) vs Industrial Metals Price Index



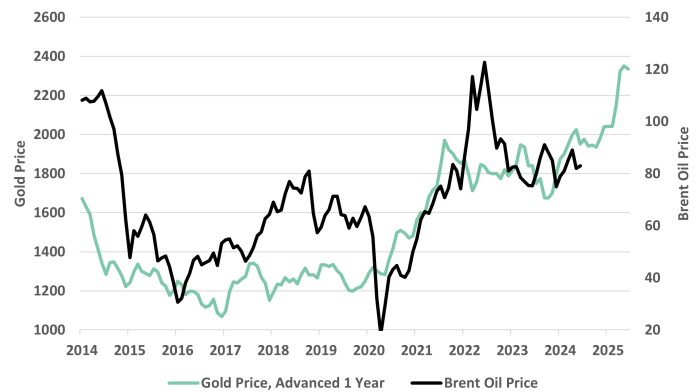
Gold Price (Moved Forward 1 Year) vs Supramax/Ultramax 10 Year Old



Industrial Metals Price Index (Moved Forward 6 Months) vs Supramax/Ultramax 10 Year Old



Gold Price (Moved Forward 1 Year) vs Brent Oil Price



S&P Global, FRED, Fearnleys

TRADE FLOWS

Shipment volume growth remains firmly above supply growth. Positive growth has been seen for all commodity groups. Coal shipment volume growth turned positive over the last month, with all the major exporting countries seeing rising year on year growth rates the last month. Demand is still lacking in developed economies, however. Europe, Japan and Korea's imports are lower by 27%, 7% and 5% year on year, respectively. A slight recovery in demand can be expected if the manufacturing recovery continues, and otherwise it will all depend on other energy sources, with weather as always being important in this regard.

China's imports are higher by nearly 9% year on year, which we doubt can be sustained through the remainder of this year seeing as the steel sector is weaker than last year. Further, thermal power generation fell year on year in May, as heavy rainfalls in the country has caused Hydropower generation to surge. This latter point is a major reason why the Panamax and Supramax markets have dropped in the Pacific the last weeks.

Iron ore exports are up 4.8% year on year, with all the major exporters contributing positively. Brazil's export growth continues at around 10%, whereas India's exports are up by nearly 20%.

China is driving most of the demand growth, with the country's imports up over 5% through June. However, consumption of imported iron ore in China is down by 3.5% year on year, meaning the import growth has been held up by inventory building. This raises a risk for next year's import demand, as stimulus efforts continues to be unsuccessful in reviving the property sector. Falling Chinese import growth could cause the global economic cycle to turn downwards through next year, as displayed in more detail in the macro section of this report.

World ex-China iron ore imports continues to recover, with imports up by 4.4% year on year. This is driven by the global

recovery in manufacturing, as seen from improving manufacturing PMIs in almost all regions. Still, it seems like the recovery is in its early innings, meaning more upside can be expected for the World ex-China's import growth over the coming year.

Grain exports are up 5.3% year on year, driven by a near doubling in Argentina's grain exports. Brazil's exports are lower than last year, however. Going forward, the IGC expects higher Black Sea grains exports than last season, and also higher exports from the US in the autumn.

Minor bulks exports are up by 5.4% year on year, supported by the global economic recovery as well as continued growth in Bauxite exports. The 5% or more growth rate can be expected to be maintained over the next year, as we expect the economic cycle to be strong until then.

On the distance side, the Suez Canal issues along with higher exports in the Atlantic gives further support to fundamentals. Ton-time growth was up by 7% year on year through May, compared to total shipment volume growth of 5.4% through June.

Year on Year Trade Flow Statistics Through June (Preliminary Estimates)

Iron Ore

Exports

Australia: 1.7%
 Brazil: 9.8%
 Canada: 6.7%
 India: 19.5%
 South Africa: 1.8%

Total Exports: 4.8%

Imports

China: 5.5%
 World ex-China: 4.4%

Coal

Exports

Australia: 3.5%
 Colombia: 14.1%
 Indonesia: 8.1%
 Russia: -17.5%
 South Africa: -3.6%
 USA: +4.4%

Total Exports: +1.5%

Imports

China: 8.6%
 India: 9.1%
 South East Asia: 15.5%

Europe and Med: -27%
 South America: -0.5%
 Japan: -6.8%
 Korea: -5.1%

Grains

Total Exports: 5.3%
 Brazil: -4.2%
 Argentina: 83.0%
 Total Imports: 4.5%
 China Imports: 6.2%
 World ex-China Imports: 3.7%

Minor Bulks

Breakbulk: -0.3%
 Fertilizers: 4.8%
 Steels: 16.0%
 Pellets Group: 19.5%
 Other Minor Bulks: 3.5%
 Bauxite: +10.1%
 Total Minor Bulks: 5.4%

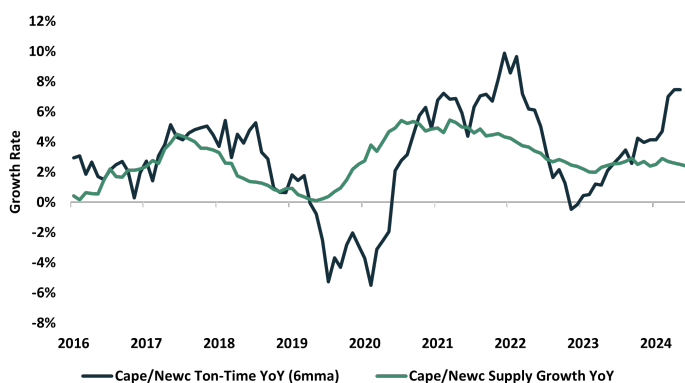
Total Atlantic Exports Growth: 6.8%

Total Pacific Exports Growth: 4.8%

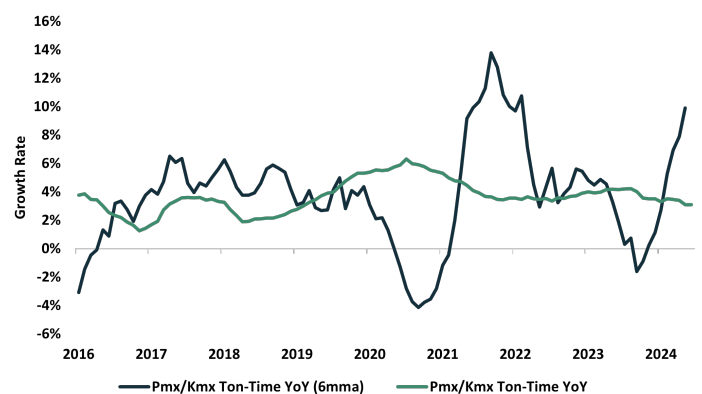
Total Exports Growth: 5.4%

Total Supply Growth: 2.9%

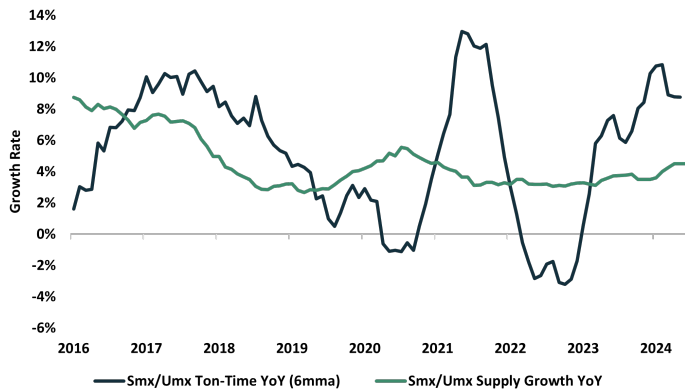
Capesize/Newcastlemax Ton-Time Growth vs Supply Growth



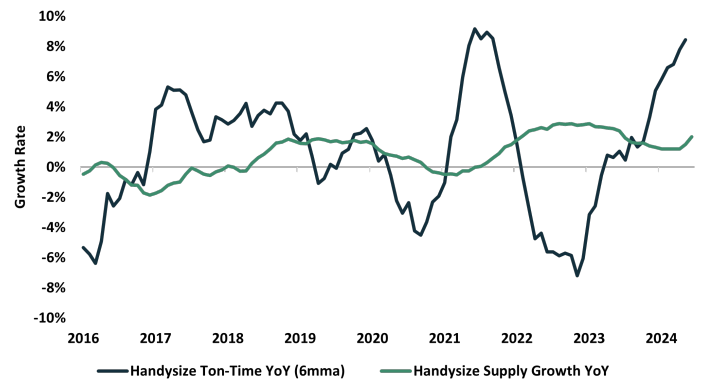
Panamax/Kamsarmax Ton-Time Growth vs Supply Growth



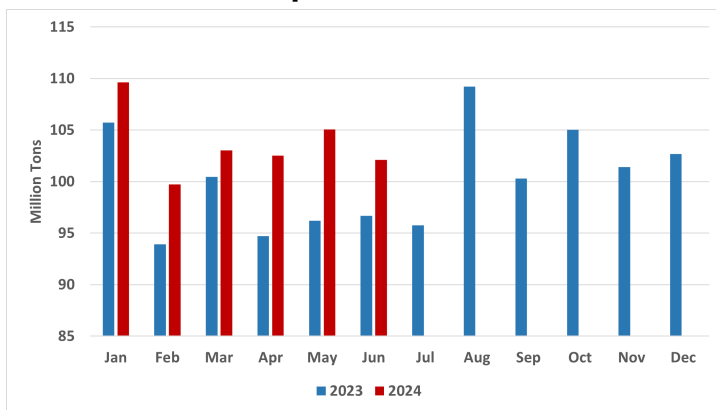
Supramax/Ultramax Ton-Time Growth vs Supply Growth



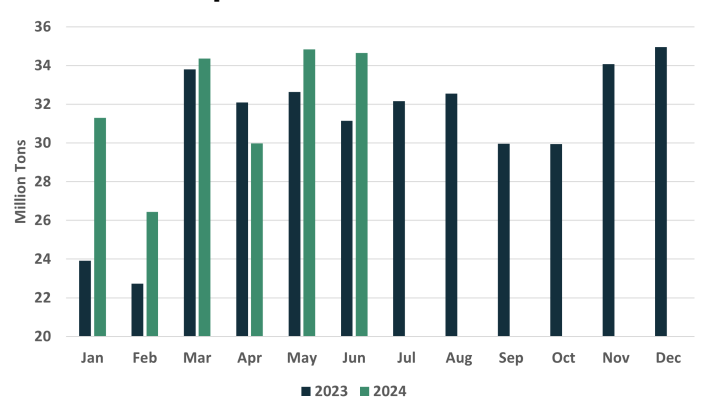
Handysize Ton-Time Growth vs Supply Growth



China Iron Ore Imports, 2023 vs 2024



China Coal Imports, 2023 vs 2024



MACRO ECONOMIC OUTLOOK

Most macro economic indicators continues to improve, though some pockets of weakness remains - especially in the Eurozone. As per the latest reports from S&P Global, a recovery in the region is expected later this summer or early autumn, however. The region's bulk commodity imports have increased noticeably from the bottom, although it remains far below previous cycle peaks like 2021 or 2018. Should import demand return to previous cycle peak levels, it is likely to result in further upside for the dry bulk markets, as the Atlantic basin has under performed relative to the Pacific - which is not common. Although an upturn in demand can be expected going forward, a return to previous cycle peak levels is hard to expect. A costly war in Ukraine, strikes amongst farmers, increased car imports from China, the "green shift", lingering inflation and high interest rates are factors that weigh heavily on growth in dry bulk related sectors. In other developed markets like Japan and Korea, manufacturing PMIs indicated a return to expansion in June. South Korea's manufacturing orders increased at the fastest pace since February 2022 (the beginning of the previous downcycle) whereas Japan's manufacturing output rose for the first time in over a year. Like Europe, these markets are a zero growth region, but the cycles are important for dry bulk markets nonetheless. Last year, Japan imported nearly 400 million tons of dry bulk commodities, South Korea imported 260 million tons, and the Eurozone imported nearly 400 million tons. All of South East Asia imported slightly more than Japan and Europe (for the first time), and this region is going to be a long-term driver of demand, but the importance of developed economies is huge still.

Regarding South East Asia, Vietnam's new manufacturing orders surged to a near record high in June, which along with a notable increase in Thailand's activity brought the ASEAN manufacturing PMI to new cycle heights. China and India's manufacturing PMIs also remains in expansion, though in the case of China this does not accurately represent the conditions relevant to dry bulk, as the steel and iron ore sector is in contraction compared to last year.

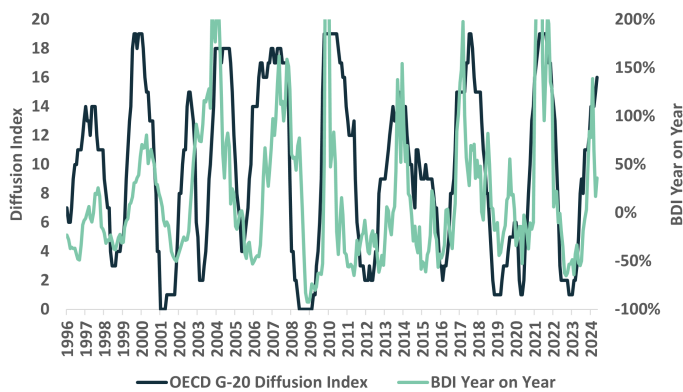
On that note, the lower left chart displays the importance of China's bulk commodity imports for the global economic cycle. The OECD G-20 economic indicator lags China's imports growth by roughly one year, which suggests that the global upturn end next year as China's import growth have dropped from 15% to 5% over the past 9 months. A further drop in

import growth is likely in our view, as imported iron ore consumption is 3.5% lower than last year, but iron ore imports are up by 5.5%. The resultant inventory building, weak credit growth, a failing property sector recovery and high iron ore imports the second half of last year strongly suggest growth could fall to 0% or below that by the end of this year. If that happens, the leading indication for the OECD G-20 economic indicator will be similar to what it was entering 2022 or 2019, and thus pose a significant downside risk for dry bulk markets and the global economy from the second half of 2025 onward.

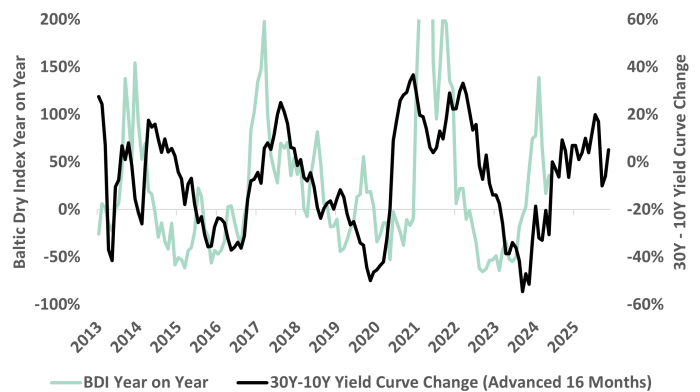
Along with that, there are early signs that US liquidity conditions will tighten from mid 2025, and that the boost given to the global economy from dropping inflation rates will be over from the start of 2025. A resurgence in inflation might even become a problem next year, as several commodity prices have risen significantly the last 9 months. In the asset value section of this report, it is displayed that the price of gold often leads the rest of the commodity space, and on that basis it seems likely that oil prices could rise significantly over the next year. The lower right chart shows how oil prices could lead the ups and downs of the Baltic Dry Index. The indication is already of weakening momentum from mid 2025, and if oil prices stays around current levels the next 6 months the lead will suggest a negative year on year Baltic Dry Index in 2026.

To summarize how we see the cycle developing, expect further upside until the middle of 2025, after which downside risks will start to increase.

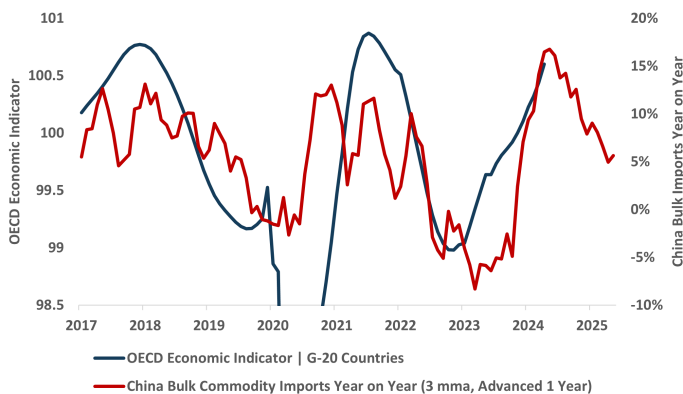
OECD Diffusion Index vs Baltic Dry Index Year on Year Change



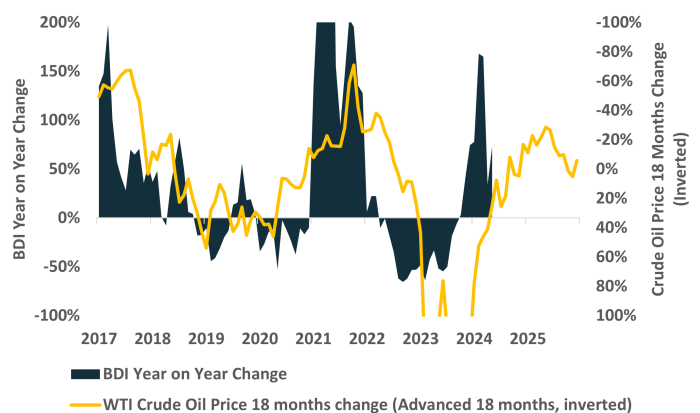
US Interest Rate Curve Change Lead vs Baltic Dry Index Year on Year Change



China Bulk Commodity Imports Growth (Moved 1 Year Forward) vs OECD Economic Indicator for G-20 Countries

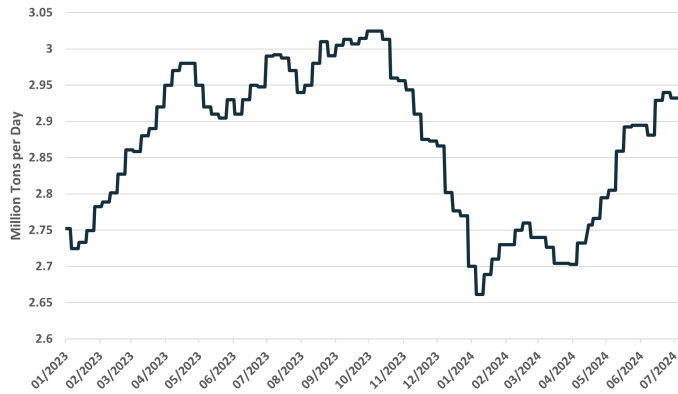


WTI Crude Oil Price Lead vs BDI Year on Year Change



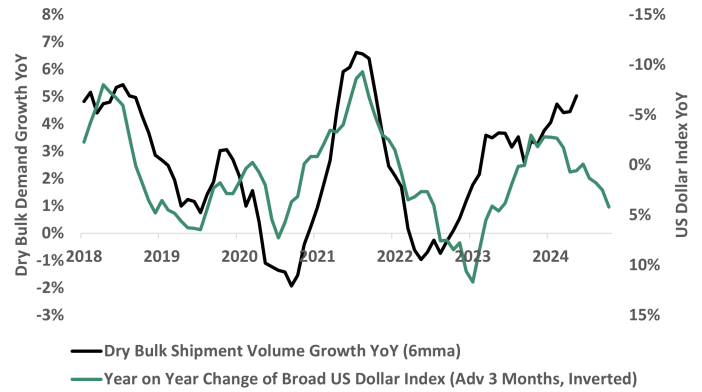


China Imported Iron Ore Consumption (Million Tons per Day)



FRED, OECD, S&P Global, AxsMarine, Baltic Exchange

USD (3 Months Lead) vs Dry Bulk Shipment Volume Growth





Disclaimer

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